25901655 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION April 2026

second SEMESTER

Multi-Disciplinary Courses (MDC) - MG2MDCECO101 - FUNDAMENTALS OF FOREIGN TRADE

(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Foreign trade mainly deals with [K] / [CO1]

   a). Local markets b). National markets

   c). International markets d). Village markets

2. Which of the following indicates a strong economy? [U] / [CO1]

   a). Trade deficit b). Trade surplus

   c). No trade d). Low imports

3. Regional Trade Agreements are formed mainly to _____. [K] / [CO2]

   a). Increase military strength b). Promote trade among member countries

   c). Reduce population growth d). Control inflation

4. AI tool used for predicting trade trend is [K] / [CO3]

a). MS Piant b). Machine Learning

c). Calculator d). WhatsApp

5. Which is the key factor of geopolitics [K] / [CO3]

a). Colour of flag b). Location of a country

c). National Anthem d). Festival date

6. Which sector is a key part of India's green exports? [U] / [CO4]

a). Coal b). Renewable energy equipment

c). Tobacco d). Crude oil

7. In a fixed exchange rate system, the rate is: [U] / [CO1]

a). Determined by market forces b). Fixed by the government

c). Always changing d). Determined by banks only

8. State a key benefit of foreign trade. [K] / [CO1]

a). Isolation b). Employment generation

c). Decline in income d). Reduced innovation

9. Block chain is mainly a [U] / [CO3]

a). Type of crytocurrency b). System to record data safely

c). Shipping Company d). Bank

10. Which of the following is a service export? [K] / [CO1]

a). Machinery b). Tourism

c). Textile d). Petroleum

11. Which of the following is a tool of trade policy? [U] / [CO2]

a). Tax on income b). Tariff

c). Salary d). Rent

12. What are remittances? [K] / [CO1]

a). Import tariffs b). Export duties

c). Money sent by migrants to home country d). Government taxes

13. Which of the following rounds focused on negotiating trade rules and led to major WTO agreements? [K] / [CO2]

a). Tokyo Round b). Doha Round

c). Uruguay Round d). Bretton Woods Round

14. Which of the following is India a major exporter of ? [U] / [CO4]

a). Natural gas b). Gold

c). Crude oil d). Pharmaceuticals

15. Which of the following is a key objective of WTO? [U] / [CO2]

a). Promoting free trade b). Increasing military cooperation

c). Controlling population growth d). Managing global elections

[1x15 = 15]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

16. What is the European Union (EU)? [K] / [CO2]

17. Mention any two benefits of FTAs. [K] / [CO2]

18. Define resource efficiency? How does it helps in export? [U] / [CO3]

19. What is the role of financial services in India’s exports. [K] / [CO4]

20. Who maintains foreign exchange reserves? [U] / [CO1]

21. How do wars affect foreign trade of countries? [U] / [CO3]

22. What is meant by non-tariff barriers? [U] / [CO2]

23. How does export trade affect foreign exchange? [U] / [CO1]

24. What is the current account in Balance of Payments? [K] / [CO1]

25. What is trade deficit? [U] / [CO4]

26. Why are SDGs important for developing countries? [U] / [CO3]

27. What is a Preferential Trade Area (PTA)? [K] / [CO2]

28. Describe the differences between General Agreement on Tariffs and Trade and General Agreement on Trade in Services. [U] / [CO2]

29. What are the reasons for India's reliance on imported crude oil? [U] / [CO4]

[2x10 = 20]

Part C

Short Essay Questions

Answer any **3** questions

Each question carries **5** marks

30. Explain India’s major trade partners and their role in foreign trade. [U] / [CO4]

31. Analyse the shift in India’s export composition toward high-value sectors. [U] / [CO4]

32. Explain the concept of free trade and protectionism with examples. [U] / [CO2]

33. Discuss the differences between domestic and international trade in terms of scope and operation. [U] / [CO1]

34. Explain the meaning and objectives of Free Trade Agreements in detail. [K] / [CO2]

35. What is CBAM? Discuss key aspects of CBAM? [An] / [CO3]

36. Analyse role of technology in foreign trade. [An] / [CO3]

[5x3 = 15]